

Australia

BOTTOM LINE

Australia is one of the EU's closest like-minded partners with close alignment on democratic values, foreign policy and strategic priorities. Relations have entered a qualitatively new phase: in **March 2026** the EU and Australia simultaneously signed a **Security and Defence Partnership** (one of only four in the Indo-Pacific), concluded a **Free Trade Agreement** after eight years of negotiation, and opened formal negotiations on Australian **association to Horizon Europe**. The remaining strategic gaps are the absence of formal green, digital and energy partnerships.

1. Country snapshot

Australia is a federal parliamentary constitutional monarchy and a stable, high-income OECD economy. It is geographically isolated but strategically located at the junction of the Indian and Pacific Oceans. **Prime Minister Anthony Albanese**, re-elected in a landslide in May 2025, leads one of the largest Australian Labor Party governments in country history. **Foreign Minister Penny Wong**, of the same party, has been instrumental to stronger relations with the EU since taking office in 2022. As of end of year 2025:

Capital	Canberra
Area	7,741,220 km ² – 6th largest country in the world; an entire continent
Land borders / Coastline	None (island continent) / 25,760 km
Head of State	King Charles III, represented by Governor-General Sam Mostyn (since July 2024)
Prime Minister	The Hon. Anthony Albanese (Australian Labor Party) – in office since 23 May 2022; re-elected with an enlarged majority in May 2025
Foreign Minister	Senator the Hon. Penny Wong (ALP)
Deputy PM & Minister for Defence	The Hon. Richard Marles (ALP) – counterpart for the new Security and Defence Partnership
Trade Minister	Senator the Hon. Don Farrell – lead negotiator on the Free Trade Agreement
Next federal election	By May 2028 (three-year terms)
Independence	From the British Empire – Formation of self-governing United Commonwealth of Australia (1901) followed by full legislative independence through the Statute of Westminster (1942) and the Australia Act (1986)
Legislature	Bicameral Parliament of Australia – House of Representatives (151 seats, 3-year terms) and Senate (76 seats, 6-year terms)
Main political parties	Australian Labor Party (gov), Liberal–National Coalition (opp), Australian Greens, minor parties and independents
Population	27.5 million
Population growth	1.6%
Nominal GDP	US\$ 1.84 trillion – 13th-largest economy globally
GDP per capita	US\$ 66,350 nominal; US\$ 72,000 PPP
Real GDP growth	+2.6% year on year
Unemployment / Rating	4.3%

2. Trade and investment with the EU

The EU is Australia's **third-largest two-way trading partner for goods** (after China and Japan) and its second-largest source of foreign direct investment. For the EU, Australia is its 20th goods partner overall but a high-income market growing rapidly, with goods trade up almost 50% over the last decade and services trade up 138%. EU strategic interest in Australia is currently the latter's significant **production capacity and reserves of Critical Raw Materials available to trade**. On 24th March 2026, negotiations on the **EU-Australia Free Trade Agreement** were concluded.ⁱ

EU rank for Australia (goods)	3rd two-way partner (8.6%) – after China and Japan
Australia rank for EU (goods)	20th partner (≈1% of EU total trade)
Goods trade 2025	€ 47.1 bn (EU exports € 36.9 bn; imports € 10.2 bn)
Services trade 2025	€ 41.9 bn (EU exports € 31 bn; imports € 10.9 bn)
EU FDI stock in Australia 2024	€ 120.5 bn – 2nd largest source of FDI
Decade trend	Goods +50%, services +138%
Composition	EU goods exports dominated by machinery, transport equipment, chemicals; imports dominated by mineral and vegetable products. Two-way services trade dominated by telecommunications, transport, travel and technical services.

3. Tools of the bilateral relationship

Framework treaty

The **EU–Australia Framework Agreement** was signed in Manila on 7 August 2017, provisionally applied from 4 October 2018 and **entered fully into force on 21 October 2022** after ratification by all Member States. It covers political dialogue, foreign and security policy, sustainable development, energy, trade, justice and science, education and culture. It establishes the **EU–Australia Joint Committee**, which oversees implementation across all sectors.ⁱⁱ

Strategic and political dialogue

There is **no overarching “strategic partnership agreement”** as such. The sector specific 2024 "Strategic Partnership on Sustainable Critical and Strategic Minerals" is the closest formal language. Outside of this, the parties refer to their relationship as strategic frequently in communication, specifically in the language of and surrounding the Framework Agreement. There is no formal annual ministerial dialogue equivalent to those with Japan or Korea, but **contact is dense at ministerial level** on the margins of the G20, UNGA and G7+ formats. At senior-officials level, the **Joint Committee meets regularly** (The 7th Australia-EU Joint Committee Meeting was held in Canberra on 16 September 2025) and is complemented by **regular sectoral dialogues** (such as the Joint Science and Technology Cooperation Committee and the Counter-Terrorism Dialogue).

Foreign-policy cooperation

Foreign-policy cooperation **under Title II of the Framework Agreement** is robust and structured (political dialogue, human rights, non-proliferation, ICC, counter-terrorism, multilateralism). Australia is part of the “coalition of the willing” supporting Ukraine, has reopened its Embassy in Kyiv (January 2025), and aligns

with the EU on a wide range of multilateral files. Limited recent divergences may be that Australia recognised the State of Palestine in 2025 and in February 2026 publicly supported US action against Iran despite calling for de-escalation. There is no standing Human Rights dialogue, consistent with EU practice for highly democratic, rights-aligned partners (NZ, Japan, Korea).

Common Security and Defence Policy cooperation

A bilateral **Crisis Management Participation Agreement signed in 2015** enables Australian participation in EU CSDP missions. Australia has previously contributed to EUCAP NESTOR (Horn of Africa maritime capacity-building) and EUAM Iraq (security-sector reform). The 2026 SDP deepened this cooperation.

Investment, Geographical Indications, GSP

There is **no standalone investment-protection agreement** with Australia. Investment market-access provisions are included within the 2026 FTA, but no separate full investment-protection chapter concluded. There is **no standalone GI agreement**: 165 EU agri-food GIs and 231 spirits GIs are protected through the FTA itself, complementing the parallel updates to the 2008 EU–Australia Wine Agreement. Australia does not benefit from GSP+ or EBA (high-income country).ⁱⁱⁱ

Development, Humanitarian Aid and Sanctions

Australia is not a recipient of EU aid; it is a donor and OECD-DAC member. **EU–Australia cooperation is on the donor side**, with close coordination on assistance to Ukraine, the Pacific and Southeast Asia. Global Gateway and Australia’s Pacific Step-up are mutually reinforcing. On sanctions, **Australia consistently aligns with EU restrictive measures** and coordinates within the G7+ format on Russia (over 1800 sanctions applied), China Iran, the DPRK, Belarus and Myanmar.^{iv}

Security and Defence Partnership – March 2026

The **EU–Australia Security and Defence Partnership was signed on 18 March 2026** and announced jointly during President von der Leyen’s visit to Canberra on 24 March. Australia is **one of only 4 Indo-Pacific countries (and 12 worldwide)** to have an SDP with the EU alongside Japan, the Republic of Korea and India. The SDP structures bilateral and regional cooperation on maritime security, cyber, hybrid threats, space security, counter-terrorism and defence industry (including European defence Agency engagement) while deepening the existing crisis management and CSDP cooperation. It also addresses Australian eligibility to access to joint procurement under the EU’s Security Action for Europe (SAFE) instrument.

Free Trade Agreement – March 2026

FTA negotiations were launched in 2018 and **concluded on 24 March 2026** after eight years (15 formal rounds). The disruption caused by US tariffs under the Trump administration was a key catalyst for the political breakthrough in 2025–26. The agreement removes **over 99% of tariffs on EU exports** to Australia and ensures **duty-free access for 98% of Australian goods to the EU**. It covers goods, services, investment market access, intellectual property and geographical indications, public procurement, SPS, sustainable trade, digital trade and a **dedicated chapter on critical minerals**. The Commission expects EU annual exports to increase by up to 33% over the next decade. Ratification on the EU side requires Council signature/conclusion and European Parliament consent. On the Australian side, scrutiny by Parliament’s Joint Standing Committee on Treaties (JSCOT) is required. Entry into force is expected in 2027–2028.

Other Sectoral instruments

- **Air Transport:** Horizontal Air Transport Agreement signed and in force since 29 April 2008.
- **Critical Raw Materials:** MoU on a Strategic Partnership on Sustainable Critical and Strategic Minerals signed on 28 May 2024, reinforced by a dedicated CRM chapter in the FTA. Three Australian-led projects feature among the 13 Strategic Projects outside the EU announced under the CRM Act.^v

- **Horizon Europe:** Australia already participates in 200+ projects through third-party arrangements. Formal association negotiations were opened on 31 March 2026, building on the 1994 Science and Technology Cooperation Agreement (amended 1999). Australian organisations are expected to apply directly to Horizon Europe calls from early 2027.
- **Green / Digital / Energy:** None of these have been formalised. Joint statements exist on climate and energy, and a sustainability chapter is included in the FTA, but there is no sustained, integrated partnership framework comparable to those concluded with Japan (hydrogen) or with Korea, Japan and Singapore (digital).
- **Readmission / Migration / Connectivity:** No instruments presently given Australia's profile.

4. Tools under negotiation or preparation

- **FTA ratification track:** Commission proposal to Council currently pending, European Parliament consent and Australian JSCOT process to follow.
- **Horizon Europe association agreement:** formal negotiations under way since 31 March 2026; conclusion targeted to allow Australian participation in calls from early 2027.
- **Operationalisation of the SDP:** first Security and Defence Dialogues, the new Space Security Dialogue, and Australian engagement with the European Defence Agency and SAFE to be set up over 2026.
- **Possible new areas to explore:** green, digital and energy partnerships; deeper Indo-Pacific coordination on economic security and on countering Foreign Information Manipulations and Interference (FIMI).

5. Main open issues and sensitivities

- **FTA – agricultural sensitivities and ratification risks:** The FTA has been criticized on the Australian side by the red-meat sector for low quotas. On the EU side concerns have been raised over a lack of sufficient safeguarding of sensitive sectors. Italian political pushback continues on the Prosecco compromise (Australian domestic use as a grape variety, with a 10-year export phase-out). These may complicate ratification on both ends.^{vi}
- **Foreign-policy divergences and strategic reconfiguration:** Aforementioned foreign policy divergences may become more pressing in a strategic context where the need for EU – Australia alignment is heightened given US trade and alliance unpredictability. Navigating the SDP alongside Australia's pre-existing AUKUS commitments will require tact and delicate management.
- **Structural gaps in the partnership architecture:** The absence of formal green, digital, energy and connectivity partnerships is visible relative to peer partners (Japan, Korea, Singapore) and represents an obvious area for forward movement. Deeper Indo-Pacific coordination on economic security could also be considered

References

- ⁱ <https://www.consilium.europa.eu/en/infographics/eu-australia-trade/>
- ⁱⁱ <https://www.dfat.gov.au/geo/europe/european-union/australia-european-union-eu-framework-agreement>
- ⁱⁱⁱ <https://www.dfat.gov.au/trade/agreements/not-yet-in-force/aeufta/geographical-indications/spirit-geographical-indications>
- ^{iv} <https://www.dfat.gov.au/international-relations/security/sanctions/sanctions-regimes/ukraine-sanctions-framework>
- ^v https://www.eeas.europa.eu/delegations/australia/european-commission-selects-three-australian-led-projects-part-global-critical-raw-materials_en?utm_source=chatgpt.com
- ^{vi} <https://www.sheepcentral.com/eu-sheep-meat-and-beef-access-lifted-in-worst-ever-trade-agreement/> ; <https://www.foodingredientsfirst.com/news/eu-australia-fta-agri-food-tariffs.html>

Key documents: [EU Commission – EU-Australia trade agreement](#); [EEAS – Security and Defence Partnership signature](#); [DFAT – Framework Agreement](#); [Council of the EU – EU-Australia trade facts and figures](#); [EU Commission – Horizon Europe association talks](#); [EEAS – EU-Australia Critical Minerals Partnership \(May 2024\)](#); [DISR – CRM MoU text](#); [EU Commission – EU-Australia aviation relations](#); [EEAS – Counter-Terrorism Dialogue \(April 2025\)](#); [EU Commission DG R&I – JSTCC 30th anniversary \(April 2024\)](#); [DFAT – Australia’s Russia sanctions framework](#); [ABS – Labour Force Australia \(March 2026\)](#); [ABS – National Accounts \(Q4 2025\)](#); [IMF DataMapper – Australia profile](#).

AI has been used for grammatical correction and basic rephrasing